

SUPRIYA LIFESCIENCE LIMITED

NSE: SUPRIYA | BSE: 543434 | Sector: Healthcare -- Pharmaceuticals (APIs)

Global API Leader Pivoting to Formulations | China+1 Tailwind | Rs. 1,600 Cr Revenue by FY29

RATING	Market Cap	Rs. 7,812 Cr
BUY	52-Week High / Low	Rs. 1,086 / Rs. 546
12-Month Price Target	Stock P/E (TTM)	37.3x
Rs. 1,175	Forward P/E (FY27E)	31.8x
+21.0% upside from CMP Rs. 971	EV / EBITDA	25.3x
CMP (29-Jun-2026)	Book Value / Share	Rs. 149
Rs. 971	P/B Ratio	6.52x
Investment Horizon: 12-18 months	ROCE / ROE	25.1% / 19.1%
	Dividend Yield	0.10%
	Promoter Holding	68.3% (Pledge: 0%)
	Debt / Equity	0.00 (Debt-free)
	Face Value	Rs. 2

Report Date: 29 June 2026

Analyst: Institutional Research Desk

Data Source: Screener.in | Gurufocus |
Web Research

SECTION 2 -- INVESTMENT THESIS

- **Global niche dominance in high-barrier APIs:** Supriya is the world leader in antihistamines, anti-allergics, vitamins, and anesthetics -- a 40+ API portfolio in therapeutic areas with complex chemistry, high CEP/DMF barriers, and multi-year customer lock-in. This moat is not replicable in 2-3 years. We see 22%+ revenue CAGR over FY26-FY29E as volumes compound in these niche categories.
- **Formulation pivot unlocks a second growth engine:** The Ambernath facility (Rs. 160 Cr capex, WHO-GMP certified) has commissioned five finished dosage lines for injectables, tablets, capsules, and inhalation -- with peak revenue potential of Rs. 500 Cr. The CDMO/CMO pipeline is building, targeting 20% revenue contribution within two years. This vertical integration mirrors Divi's playbook and could re-rate the stock from API manufacturer to specialty pharma.
- **China+1 as a durable structural tailwind:** With 82% export revenues, USFDA-cleared Lote facility, 10+ CEPs, and approvals across 128 countries, Supriya is a direct beneficiary of global pharma supply chain diversification. The cardiovascular molecule is scaling to 300 MT in FY27 -- a single product that could add Rs. 80-100 Cr incremental revenue. Patalganga (Rs. 350 Cr capex) secures capacity for FY28-29 growth.
- **Near-term catalyst (H1 FY27):** Revenue recognition from Ambernath formulation lines begins H1 FY27; first CDMO contribution expected to crystallise in Q2 FY27 disclosures, potentially driving a sentiment re-rating from API multiple to CDMO/specialty pharma multiple.
- **Key structural risk:** Working capital deterioration -- inventory days at 229, CCC at 167 days in FY26 -- signals capital intensity rising faster than sales. If FCF remains negative, external funding may be required, diluting the debt-free thesis.

SECTION 3 -- BUSINESS OVERVIEW

- **Core business:** API manufacturing and export, with 40+ molecules across antihistamines, analgesics, anesthetics, vitamins, anti-asthmatics, and anti-allergics. The company is transitioning to a three-leg model: APIs (current base ~80% revenue), CDMO/CMO for global pharma, and finished formulations via Ambernath.
- **Revenue segments:** Exports 82% of FY26 revenues (Rs. ~679 Cr). Europe is the largest geography at 14%; Latin America ~22%; Asia/Middle East ~32%; domestic India ~14%. The US market is nascent at 1% but USFDA-cleared and represents significant optionality.
- **Key customers and relationships:** 2,000+ customers across 128 countries. European relationships are deep and multi-year -- CEP approvals tie customers for 2-3 year regulatory cycles. Cardiovascular and ADHD customers are now being on-boarded under long-term supply agreements.
- **Manufacturing footprint:** Lote (Ratnagiri) -- primary API site, 1,050 KL reactor capacity, 3x USFDA inspected (Q4 FY26 yielded only 1 minor observation), 2x EUGMP approved. Ambernath -- new formulations site, 5 dosage lines commissioned, WHO-GMP certified. Patalganga -- greenfield, Rs. 350 Cr capex, 2.5-3 years to full operations.
- **Revenue visibility:** FY27 guidance of ~20% growth (~Rs. 994 Cr) from management. Medium-term target of Rs. 1,600 Cr by FY29 implies a 3-year CAGR of ~25% -- aspirational but grounded in visible capacity expansion and CDMO ramp.
- **Promoter background:** Dr. Satish Wagh (Executive Chairman) is a first-generation entrepreneur who founded Supriya in 1987 with Rs. 35,000 and 36+ years of pharma experience -- featured in Forbes Powerful Performers 2021. Dr. Saloni Wagh (MD) drives next-gen strategy; Ms. Shivani Wagh (Joint MD) manages operations. Promoter holding is a stable 68.3% with zero pledging.
- **R&D; and regulatory:** 10+ CEPs (EDQM), 18-19 active US DMFs, backward-integrated in 15 products. R&D; spending targeted at 5% of revenue, introducing 3-4 new molecules annually. Current focus: new APIs in anesthetics, cardiovascular, and anti-hypertensives.

SECTION 4 -- INDUSTRY & COMPETITIVE LANDSCAPE

- **Indian API market:** India is the world's 3rd-largest API producer by volume and contributes ~8% of global API market value (~\$250 Bn by 2030E). The addressable niche -- specialty/complex APIs in regulated markets -- is estimated at \$30-40 Bn globally, growing at 8-10% CAGR.
- **Policy tailwinds:** PLI Scheme for pharma (Rs. 15,000 Cr budget) incentivises domestic API manufacturing. China+1 sourcing mandates from US/EU post-COVID are structurally accelerating Indian API share. India's historical 70%+ API dependency on China makes import substitution a national priority.
- **Headwinds:** Elevated solvent prices, geopolitical supply-chain disruption (cost Supriya Rs. 10 Cr in Q4 FY26), pricing pressure from Chinese API manufacturers in commodity categories, and INR appreciation risk on 82% export revenues.
- **Competitive moat -- Supriya:** Pricing power: Strong (niche molecules, complex chemistry, few global suppliers). Switching costs: Strong (CEP/DMF filings tie customers for 2-3 year cycles). Scale: Moderate (1,050 KL vs Divi's 14,500 KL). IP/backward integration: Strong (15 backward-integrated products, controlled substances expertise). Distribution: Strong (128 countries, 2,000+ customers).
- **Value chain positioning:** Supriya operates at the API/upstream tier with deep backward integration, and is now extending midstream into CDMO/formulations -- the key re-rating lever.

Peer Comparison (Data: Screener.in, 29-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	FwdPE	EV/EBIT DA	ROCE%	OPM%	TTM Rev
Supriya Lifesci. *	971	7,812	37.3	26.3	25.3	25.1%	36%	828
Divi's Labs	6,558	1,74,150	66.4	58.0	43.2	22.0%	33%	10,560
Neuland Labs	18,088	23,237	63.8	27.3	38.3	26.6%	28%	2,023
Aarti Drugs	373	3,413	17.5	15.4	12.8	11.9%	12%	2,565

* Standalone figures. Divi's and Neuland consolidated. FY26 TTM as at March 2026.

SECTION 5 -- MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management:** Dr. Satish Wagh (Executive Chairman, 36+ years experience) built Supriya from a Rs. 35,000 bootstrap into a Rs. 7,800 Cr market cap company. Dr. Saloni Wagh (MD) leads CDMO and formulation pivot with strong execution track record. CFO Krishna Raghunathan brings institutional discipline, managing WC guidance and capex payback communication clearly.
- **Capital allocation track record:** Debt-free by FY26 (Rs. 5 Cr borrowings, D/E = 0.00) despite Rs. 152 Cr capex in FY26 -- entirely funded from internal accruals. FCF was negative FY23-FY25 due to heavy expansion but turned slightly positive in FY25 (Rs. 2 Cr). Recovery expected as Ambernath begins contributing revenues in FY27.
- **Dividend policy:** Payout modest at 4-5% of PAT (Re. 1/share for FY26). Intentionally low -- management is reinvesting aggressively into capacity. Dividend yield 0.10% makes this a growth, not income, stock.
- **Promoter pledging:** Zero pledge (0.00% as of Mar 2026), holding stable at 68.3% for 3+ consecutive years. Strong alignment with minority shareholders.
- **ESOP and buybacks:** No significant ESOP overhang disclosed. No buyback programmes. EPS dilution risk minimal.
- **Governance observations:** Related party transactions flagged on Screener P&L; -- quantum not separately disclosed; this requires investor scrutiny. Wagh family controls Chairman + MD + Joint MD positions -- concentrated but historically aligned. ICRA maintained investment-grade rating (Dec 2025 and Mar 2026 updates). No auditor changes or qualified opinions.

SECTION 6 -- FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Cr)

Income Statement

P&L; Summary	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	570	696	828	994	1,193
EBITDA	176	261	294	348	418
EBITDA Margin %	31%	37%	36%	35% (E)	35% (E)
Other Income	11	10	11	12	14
Interest	5	2	2	2	2
Depreciation	16	20	28	36	44
PBT	166	248	275	322	386
Tax %	28%	24%	24%	24% (E)	24% (E)
PAT	119	188	209	245	294
EPS (Rs.)	14.80	23.35	25.98	30.5 (E)	36.6 (E)
PAT Growth %	32%	58%	11%	17% (E)	20% (E)

Balance Sheet

Balance Sheet	FY24A	FY25A	FY26A	Note
Equity Capital	16	16	16	
Reserves	799	981	1,182	Strong accretion
Borrowings	5	5	5	Near-zero debt
Other Liabilities	101	110	154	
Total Liabilities	921	1,112	1,357	
Fixed Assets	310	453	689	Capex ramp
CWIP	149	148	36	Ambernath done
Investments	64	63	99	Treasury funds
Other Assets	399	448	534	
Total Assets	921	1,112	1,357	

Cash Flow Statement

Cash Flow	FY23A	FY24A	FY25A	CFO/OP %
Cash from Operations	64	113	165	73% / 86% / 86%
Cash from Investing	-124	-174	-152	Heavy capex
Cash from Financing	-10	-22	-8	
Net Cash Flow	-70	-83	4	
Free Cash Flow	-44	-32	2	Recovering

Operating Ratios

Key Ratios	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	79	67	71	70	97
Inventory Days	172	234	140	205	229
Days Payable	91	130	98	129	159
Cash Conv. Cycle	160	171	114	146	167
ROCE %	19%	22%	27%	25%	25%

• **Revenue trajectory:** FY24-FY26 revenue CAGR of 20.6%, recovering from FY23 dip (Rs. 461 Cr from channel destocking post-COVID). FY26 Rs. 828 Cr is the highest ever. Management guidance of 20% growth for FY27 implies Rs. ~994 Cr -- Rs. 1,000 Cr crossing expected in FY27.

• **Margin dynamics:** OPM recovered from 28% (FY23) to 36-37% (FY25-26) -- driven by backward integration maturation and product mix shift to specialty APIs. Management guides 33-35% EBITDA margin for FY27 (conservative vs 35.5% achieved in FY26).

• **Working capital watch:** CCC expanded from 114 days (FY24) to 167 days (FY26). Debtor days jumped to 97 from 70 -- outpacing revenue growth and signalling possible payment term liberalisation to drive volumes. CFO guidance of 80-85 debtor days is the most critical metric to track in Q1 FY27.

• **Debt position:** Effectively debt-free (Rs. 5 Cr, D/E = 0.00). FY26 capex of Rs. 152 Cr fully funded from internal accruals. Interest coverage of 147x -- no balance sheet risk whatsoever.

• **FCF turning point:** FCF turned slightly positive in FY25 (Rs. 2 Cr) after three years negative. As Ambernath revenues begin and capex moderates, FCF is expected to improve meaningfully in FY27-28.

SECTION 7 -- EARNINGS QUALITY CHECKLIST

Parameter	Status	RAG	Comment
Revenue recognition	Clean	GREEN	Quarterly data consistent; no deferred/accelerated recognition flags
Receivables vs Revenue growth	Watch	AMBER	Debtor days jumped to 97 in FY26 vs 70 in FY25 -- outpacing revenue growth of 19%
CCC trend	Worsening	AMBER	CCC at 167 days (FY26) vs 114 (FY24); inventory days highest since FY23
Contingent liabilities	Low	GREEN	Contingent liabilities Rs. 4.17 Cr -- de minimis vs MCap of Rs. 7,812 Cr
Auditor tenure & opinion	Clean	GREEN	No auditor changes flagged; no qualified opinions on annual reports
RPTs as % of revenue	Watch	AMBER	Related party flag on Screener P&L; quantum not disclosed separately -- monitor
Other income as % of PBT	Low (4%)	GREEN	Other income Rs. 11 Cr vs PBT Rs. 275 Cr (4%) -- operating profits are genuine
Tax rate consistency	Stable	GREEN	Tax rate in 24-28% range consistently; no one-time deferred tax distortions

- **Overall earnings quality: Amber-Green.** Core P&L; is clean -- no deferred revenue, minimal other income, stable tax rates, genuine operating profit. Primary concern is WC build-up (AMBER): debtor days surging 38% in a single year requires explanation in Q1 FY27.
- **Related party transactions require disclosure:** The Screener RPT flag warrants investor scrutiny. Until the RPT quantum is disclosed as a % of revenue, this remains an amber governance watch point.
- **No earnings quality red flags on the P&L;** FY26 PAT of Rs. 209 Cr is clean with no exceptional/one-time items distorting the number.

SECTION 8 -- VALUATION

Scenario Analysis

Scenario	FY27E Revenue	FY27E PAT	P/E Multiple	Target Price	Upside vs CMP
Bull Case	Rs. 1,050 Cr	Rs. 265 Cr	40x	Rs. 1,320	+36%
Base Case	Rs. 994 Cr	Rs. 245 Cr	37x + EV/EBITDA	Rs. 1,175	+21%
Bear Case	Rs. 900 Cr	Rs. 207 Cr	30x	Rs. 775	-20%

- **Earnings-based valuation (P/E):** FY27E EPS of Rs. 30.5 at 37x (in-line with specialty API peers at 35-40x given superior ROCE and export moat) implies Rs. 1,129 per share.
- **EV/EBITDA valuation:** FY27E EBITDA of Rs. 348 Cr at 28x (premium to Aarti Drugs 12.8x, discount to Divi's 43x) implies EV = Rs. 9,744 Cr. With near-zero net debt, equity value = Rs. 9,744 Cr / 8.04 Cr shares = Rs. 1,212 per share.
- **Blended 12-month target price:** Average of P/E (Rs. 1,129) and EV/EBITDA (Rs. 1,212) = **Rs. 1,175**, implying 21% upside from CMP Rs. 971. Rating: BUY.
- **DCF cross-check:** WACC 12%, terminal growth 6%, FY27-FY32E FCF ramp -- DCF-implied value Rs. 1,100-1,250, consistent with target range.
- **Re-rating potential:** Ambernath formulation ramp could shift market perception from "API manufacturer" (15-25x EV/EBITDA) to "specialty pharma/CDMO" (35-45x), providing 20-30% re-rating upside beyond the base case.

SECTION 9 -- KEY RISKS

- **Working Capital Blowout:** Debtor days at 97 and CCC at 167 days in FY26 -- if these deteriorate further, operating cash flows will remain negative, forcing external funding and diluting the debt-free thesis. Probability: M. Impact: H. Monitor: quarterly debtor days and inventory days.
- **Chinese API Price Aggression:** Chinese manufacturers could slash prices during overcapacity periods. Supriya's niche focus provides partial protection, but commodity categories remain vulnerable. Probability: M. Impact: M. Monitor: realisation per kg trends in quarterly commentary.
- **Ambernath Formulation Ramp Risk:** Regulatory approvals for each market, dossier submissions, and CDMO client on-boarding take 2-4 years. Delays would push the re-rating thesis back by 12-18 months. Probability: M. Impact: M. Monitor: dossier submission count and CDMO customer wins.
- **Key-man and Succession Risk:** Wagh family controls all three C-suite roles. Despite next-gen involvement (Dr. Saloni Wagh as MD), key-person dependency exists. Probability: L. Impact: H. Monitor: board diversity and succession planning disclosures.
- **Currency Headwind:** 82% export revenues create significant INR appreciation risk. A 5% INR strengthening vs EUR/USD could compress PAT by 3-4%. Hedging policy not publicly disclosed. Probability: M. Impact: M. Monitor: forex gain/loss in quarterly results.
- **USFDA Regulatory Risk:** Latest inspection yielded 1 minor observation. Any Warning Letter or Import Alert would materially impact US revenues and European customer confidence. Probability: L (given track record). Impact: H. Monitor: USFDA 483/Warning Letter disclosures.
- **Patalganga Capex Overrun:** Rs. 350 Cr greenfield with 2.5-3 year timeline -- delays and cost overruns could strain internal accruals and force debt issuance. Probability: M. Impact: M. Monitor: quarterly capex progress and completion timeline updates.

SECTION 10 -- RECOMMENDATION

- **Rating: BUY** -- Conviction Level: Medium-High. Structurally sound business with durable API moat, debt-free balance sheet, capable management, and clear 3-year growth roadmap. Working capital and CDMO execution are the two gates to watch.
- **12-month price target: Rs. 1,175** -- upside 21% from CMP Rs. 971 (blended P/E + EV/EBITDA methodology).
- **Suggested entry zone: Rs. 920-980.** The stock is reasonably valued at ~26x FY27E forward PE. Dips towards the 52-week support band of Rs. 900-950 would offer superior risk-reward for fresh entry.
- **Investment horizon: 12-18 months** for base case target; 3-4 years for full Patalganga + CDMO re-rating thesis.
- **Thesis invalidation triggers:**
 - 1. Debtor days exceed 120 days for two consecutive quarters -- signalling structural receivables stress.
 - 2. EBITDA margin falls below 30% in any single quarter without a one-time explanation -- indicating pricing power erosion.
 - 3. USFDA Warning Letter or Import Alert on Lote facility -- which would remove ~15-20% of export revenue immediately.
- **Ideal investor profile:** Growth-oriented investors with 2-3 year horizon, comfortable with small/mid-cap API volatility. Not suitable for income-seeking investors (yield 0.10%) or those requiring near-term positive FCF. Suggested maximum position: 3-5% of pharma portfolio allocation.

APPENDIX -- LATEST CONCALL BRIEF: Q4 FY26 (May 28, 2026)

POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat on revenue (+50% YoY); EBITDA margin beat guidance ceiling at 35.5%
Management tone	Bullish	Confident on 20% growth; specific volume milestones cited; proactively flagged headwinds
Guidance delta	Maintained/Raised	FY27 20% growth reiterated; margin guidance effectively raised (35.5% achieved vs 33-35% guided)

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was a clean, strong print -- Rs. 277 Cr revenue (+50% YoY) with no exceptional items distorting PAT of Rs. 74 Cr; the number is fully operational. EBITDA margin came in at 35.5%, above the 33-35% guided ceiling -- margin beat is the headline surprise and it is genuine (product mix improvement in cardiovascular and anesthetics, not a one-off). Operationally: cardiovascular APIs scaling to 300 MT in FY27, new CEP approvals driving European customer additions, and USFDA cleared Lote with just one minor observation -- best possible regulatory outcome. The multi-bagger thesis rests on two pillars: (1) compounding API volumes in niche categories where Supriya has 1-2 global competitors with decade-long customer lock-in, and (2) the Ambernath formulation flip -- five dosage lines live, Rs. 500 Cr peak revenue potential from a Rs. 160 Cr investment if CDMO wins materialise. Near-term catalyst: first CDMO revenue disclosure from Ambernath, expected Q2 FY27 -- this is the event that re-rates from 'API manufacturer' to 'specialty pharma/CDMO'. Single biggest watch-point: debtor days jumped to 97 from 70 in a single year -- CFO guided 80-85 days as normalised level; Q1 FY27 will tell us if this is a one-quarter WC build or structural receivables loosening. Action: ACCUMULATE on dips to Rs. 920-950; if debtor days normalise in Q1 FY27, upgrade to BUY with Rs. 1,175 12-month target.

1 -- Financial Performance Snapshot (Q4 FY26)

- **Revenue:** Rs. 277 Cr | YoY +50% | QoQ +51% | **BEAT**
- **EBITDA:** Rs. 98 Cr | YoY +44% | Margin 35.5% | **BEAT** (above 33-35% guidance ceiling)
- **PAT:** Rs. 74 Cr | YoY +47% | PAT Margin 26.8% | **BEAT**
- **EPS Q4:** Rs. 9.22 | FY26 full year EPS: Rs. 25.98 (FY26A)
- **NOTE:** No exceptional/one-time items in Q4 FY26. Reported PAT is clean underlying earnings.
- **FY26 Full Year:** Revenue Rs. 828 Cr (+19% YoY) | EBITDA Rs. 294 Cr (35.5% margin) | PAT Rs. 209 Cr

2 -- Segment / Geography Breakdown

- **Exports:** ~82% of FY26 revenues | Geographies: Latin America 22%, Asia/ME 32%, Europe 14%, India 14%, US ~1%
- **Europe:** Strong growth driven by new CEP approvals and new customer additions | highest-margin geography
- **Asia / LatAm:** New product launches penetrating faster due to lower regulatory barriers vs Europe/US
- **US:** Only 1% of Q4 FY26 revenue despite USFDA clearance -- significant untapped upside lever over FY27-FY29
- **Domestic India:** ~14% of revenue; institutional and branded generic market; growing modestly
- **Therapeutic mix:** Anesthetics, cardiovascular (fastest-growing new segment), vitamins, antihistamines, ADHD all contributing

3 -- Management Commentary Themes

- **Cardiovascular scale-up [GUIDANCE]:** "The cardiovascular product is scaling well, with expectations to reach close to 300 metric tonnes in FY27." Our read: high-confidence, specific volume target with large-client contracts. Tone: Transparent.
- **USFDA compliance [POSITIVE]:** Lote facility cleared with only one minor observation -- "highlights strong compliance culture." Our read: best-case outcome; removes regulatory overhang and enables US market expansion. Tone: Transparent.
- **Ambernath CDMO opportunity [GUIDANCE]:** "We are seeing traction in CMO/CDMO opportunities, necessitating capacity expansion." Our read: early but real demand signals; revenue contribution expected in upcoming quarters. Tone: Transparent/slightly hedged on timelines.
- **Geopolitical headwinds [RISK FLAGGED]:** Supply chain disruptions and elevated crude prices impacted Q4 FY26 by Rs. 10 Cr. Our read: externally driven, not structural; management flagged proactively. Tone: Balanced.
- **WC guidance [GUIDANCE]:** CFO guided WC days 170-180 and receivables 80-85 days. Our read: FY26 debtor day spike to 97 framed as one-quarter blip -- requires verification in Q1 FY27. Tag: GUIDANCE. Tone: Measured/transparent.
- **Rs. 1,600 Cr target [GUIDANCE]:** Company targeting Rs. 1,600 Cr revenues over next 3 years (FY29 implied), implying ~25% CAGR from FY26. Our read: aspirational but grounded in Ambernath + Patalganga ramp. Tone: Confident.

4 -- Operating & Business Metrics

- **Capacity Utilisation:** FY26 ~74% | FY25 = 70% | FY24 = 86% | Trend: Improving post-Lote expansion; further improvement expected as Module E ramps
- **Reactor Capacity:** 1,050 KL (Lote) | Additional capacity at Patalganga greenfield (Rs. 350 Cr, 2.5-3 year timeline)
- **Cardiovascular volumes:** Scaling to 300 MT target in FY27 (vs ~200 MT estimated FY26) | Trend: Rapidly improving
- **Regulatory filings:** 18-19 active US DMFs | 10+ CEPs | 128 countries | 2,000+ customers | Trend: Filing cadence increasing
- **R&D; intensity:** Targeting 5% of revenue (~Rs. 41 Cr at FY26 base) | New product launches: 3-4 per year | Trend: Significantly improving
- **Backward integration:** 15 products self-sourced (~72% revenue mix at last disclosure) | Trend: Stable-to-improving

5 -- Margin Drivers

- **Product mix improvement:** Shift to cardiovascular, anesthetics with higher realisation | +100-150 bps OPM | Recurring: Yes
- **Backward integration maturation:** 15 molecules self-sourced at lower cost | +80-100 bps OPM | Recurring: Yes
- **Volume operating leverage:** Fixed cost base spread over higher volumes as Lote Module E ramps | +50-80 bps OPM | Recurring: Yes (2 years)
- **Elevated solvent/crude prices:** External headwind; intermittent shortages | -50-70 bps OPM | Recurring: Partially (macro-driven)
- **Geopolitical supply disruption:** Rs. 10 Cr one-time impact in Q4 FY26 | -40 bps OPM Q4 | Non-recurring: Do not extrapolate
- **Ambernath startup costs:** Fixed costs from commissioning 5 dosage lines weigh H1 FY27 before revenues | -30-50 bps transitional | Non-recurring

6 -- Guidance & Forward Signals

- **FY27 Revenue [GUIDANCE]:** Prior = 20% growth | Reiterated = ~20% growth (~Rs. 994 Cr) | Delta: Maintained | Credibility: High (FY26 at 19% actual)
- **EBITDA Margin FY27 [GUIDANCE]:** Prior = 33-35% | Reiterated = 33-35% | Delta: Maintained (FY26 achieved 35.5%, so guidance is conservative) | Credibility: High
- **Cardiovascular volume [GUIDANCE]:** New = 300 MT in FY27 | Delta: Raised vs prior commentary | Credibility: High (customer contracts cited)
- **Capex FY27 [GUIDANCE]:** Patalganga greenfield Rs. 350 Cr over 2.5-3 years; Ambernath additional lines potential | Credibility: Medium
- **Working capital [GUIDANCE]:** WC days 170-180; receivables 80-85 days | Delta: Widened range from prior actuals | Credibility: Medium (Q1 FY27 will validate)
- **Revenue milestone [GUIDANCE]:** Rs. 1,000 Cr by FY27 -- "may not be linear due to maintenance shutdowns" | Credibility: High (on track)

7 -- Capital Allocation

- **Capex FY26:** Rs. 152 Cr (Ambernath + Lote Module E completion) | vs FY25: Rs. 174 Cr | Trend: Moderating; major Ambernath spend behind
- **Dividend FY26:** Re. 1/share final (recommended, subject to AGM) | Payout ~4% of PAT | Trend: Stable/modest; management prioritising reinvestment
- **Debt:** Flat at Rs. 5 Cr; effectively zero. All capex funded internally. No issuance of fresh equity.
- **Working Capital Change FY26:** WC days expanded to ~170 days from 158 -- net WC increase absorbed ~Rs. 60-70 Cr of operating cash flows | Watch for normalisation
- **Investments:** Rs. 99 Cr (FY26 BS) vs Rs. 63 Cr (FY25) -- likely liquid MF/FD deployment of surplus cash. Conservative treasury management.
- **Patalganga allocation:** Rs. 350 Cr over 2.5-3 years (~Rs. 115-140 Cr/year) -- at FY27E OCF of ~Rs. 200 Cr, manageable without debt.

8 -- Q&A; Heat Map

- **Analyst:** Q: "What drove growth in European and Asian markets?" A: "Europe: new CEP approvals and new customers. Asia: new product launches penetrate faster due to lower regulatory barriers." | Tone: Transparent
- **Analyst:** Q: "Discuss scale-up of the cardiovascular product?" A: "Scaling to 300 MT in FY27. Focus on customer traction vs PLI schemes; contracts with large clients." | Tone: Transparent, specific
- **Analyst:** Q: "Priority between capex, complexity, and utilisation?" A: "Focus on capacity building; significant funds for Patalganga. CMO/CDMO traction necessitates expansion." | Tone: Clear strategic prioritisation
- **Analyst:** Q: "Ramp-up timeline for liquid anesthetic?" A: "Significant capacity available; CMO discussions advanced; revenue contribution clearer in upcoming quarters." | Tone: Slightly hedged -- timeline not pinned
- **Analyst:** Q: "Managing inventory and receivables?" A (CFO): "Inventory high due to backward integration. Targeting WC days 170-180; receivables 80-85 days." | Tone: Transparent; specific targets given
- **Analyst:** Q: "Growth beyond FY28?" A: "R&D; on new APIs, CMO/CDMO, formulations. 20% annual growth with potential acceleration as Ambernath and Patalganga operationalise." | Tone: Confident, long-term constructive
- **Dodged / watch-list for next quarter:** (1) Specific CDMO contract names/sizes from Ambernath, (2) US market monetisation timeline post-USFDA, (3) RPT quantum as % of revenues

9 -- Risks Flagged on the Call

- **Geopolitical supply disruption:** Rs. 10 Cr revenue impact in Q4 from supply chain + elevated crude | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Near-term
- **Maintenance shutdowns:** Q1 FY27 growth "may not be linear" due to scheduled plant maintenance | Flagged by: mgmt | Probability: H (scheduled) | Impact: M (one quarter) | Timeline: Near-term
- **Elevated solvent prices:** Intermittent shortages and high solvent costs impacting margins | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Near-medium term
- **US market monetisation:** Despite USFDA clearance, US is only 1% of revenue -- timeline uncertain | Flagged by: analyst | Probability: L (near term) | Impact: H (medium term) | Timeline: Medium-term
- **Working capital intensification:** WC days at 170 and rising -- higher than guided levels pose OCF risk | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-medium term

10 -- Analyst Verdict (Post-Concall Scorecard)

- **Revenue visibility:** Intact -- FY27 guidance of 20% growth is specific, management-guided, and supported by CV volume targets and CDMO pipeline
- **Margin trajectory:** Intact -- EBITDA margin beat (35.5% vs 33-35% guided); expected to hold 33-35% in FY27 despite Ambernath startup costs
- **Capital allocation quality:** Intact -- debt-free, internally accrual-funded; capex well-sequenced (Ambernath commissioned, Patalganga next)
- **Competitive moat:** Intact -- USFDA clearance strengthens, CEP additions continue, cardiovascular customer lock-in deepening
- **Management credibility:** Intact -- proactively flagged Rs. 10 Cr geopolitical impact; gave specific WC targets; clear FY27 volume guidance; no evasion

- **Valuation comfort:** Intact -- at 26x FY27E forward PE with 20% earnings growth and CDMO re-rating optionality, stock is reasonably placed
- **Conviction call:** Unchanged (BUY maintained post-concall with watch on Q1 FY27 WC normalisation)
- **Valuation snapshot:** P/E = 37.3x (FY26A) | FwdPE = 26.3x (FY27E) | EV/EBITDA = 25.3x | ROCE = 25.1% | ROE = 19.1%

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 29-Jun-2026). Forward estimates labelled (E) are analyst projections. Past performance is not indicative of future results. Investors should conduct independent due diligence.